

Laurus Labs Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: LAURUSLABS · BSE: 540222 · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1 Snapshot

What the business does: Laurus Labs is a Hyderabad-based pharmaceutical manufacturer with four arms. (1) **Generic APIs** — an *API* is the active pharmaceutical ingredient, the actual medicine molecule that goes inside a pill; Laurus is the world's largest maker of ARV APIs (antiretrovirals, the drugs that keep HIV under control) and supplies roughly a third of the global HIV population. (2) **Generic formulations** — the finished tablets themselves. Arms 1 and 2 together are now branded "**Affordable Medicines**". (3) **CDMO** — *contract development and manufacturing organisation*, meaning Laurus makes patented, still-under-development drugs to order for big global pharma companies that invented them. This is the claimed growth engine. (4) **Laurus Bio** — fermentation and biology: enzymes, cell-culture ingredients, precision fermentation. The company earns a low, competitive margin on arms 1–2 and a much higher one on arm 3.

Measure	Value	What it means in plain words
Market cap	₹97,878 cr	What the market says the whole company is worth — a large-cap, and up 114% in one year.
FY26 revenue	₹6,813 cr	Total sales in the year to March 2026, up 23% on FY25's ₹5,554 cr. A record.
FY26 net profit	₹890 cr	Profit after everything, up 148% from ₹358 cr. Also the first year to beat the ₹984 cr made back in FY21 — nearly.
FY26 operating margin	26%	26 paise of operating profit per rupee of sales, up from 19% in FY25 and just 15% in FY24.
Net debt (Jun 26)	₹2,656 cr	Borrowings minus cash. 1.28x EBITDA — comfortable, and down from 2.3x two years ago despite heavy spending.
ROCE (FY26)	18%	Return on capital employed — profit earned per rupee of capital in the business. Recovered from a dismal 7% in FY24.
FY26 free cash flow	₹560 cr	Cash left after running the business and paying for new plant. First substantial positive figure in the company's history.
Cash conversion cycle	263 days	Cash tied up in stock and unpaid bills for nearly nine months. Inventory alone is 317 days. This is the balance sheet's weak point.
Stock P/E	~90x	The market is paying about 90 years of current consolidated profit. Priced for the CDMO story to keep compounding.

Important — which set of numbers. Every figure above is **consolidated** (the whole group, including subsidiaries). Screener.in defaults to Laurus's *standalone* accounts, which are materially smaller: FY26 revenue ₹6,089 cr vs ₹6,813 cr consolidated, and FY26 profit ₹740 cr vs ₹890 cr. The gap is about 12% of revenue and 20% of profit, and it is growing, because the subsidiaries — Laurus Bio, Laurus Synthesis, the KRKA joint venture — are where much of the new investment sits. Management quotes consolidated on every call, and so does this report.

2 Concall coverage

Quarter	Call date	Transcript read?
Q2 FY24	20 Oct 2023	Yes
Q3 FY24	24 Jan 2024	Yes
Q4 FY24	25 Apr 2024	Yes
Q1 FY25	25 Jul 2024	Yes
Q2 FY25	24 Oct 2024	Yes
Q3 FY25	24 Jan 2025	Yes
Q4 FY25	24 Apr 2025	Yes
Q1 FY26	25 Jul 2025	Yes
Q2 FY26	23 Oct 2025	Yes

Q3 FY26	23 Jan 2026	Yes
Q4 FY26	30 Apr 2026	Yes
Q1 FY27	24 Jul 2026	Yes — latest call, read in full ★

Coverage note — read this before the analysis. Twelve consecutive quarterly calls, an unbroken run of three years from October 2023 to July 2026, with **no missing quarter** in the period analysed. Laurus is unusually well covered: Screener lists 40 concall rows going back to February 2017, and transcripts exist for essentially all of them. Three honest caveats about those 40 rows. (i) The **September 2025** row carries **no transcript** — it is an investor presentation dated 12 Sep 2025, not an earnings call. (ii) The **August 2018** row's transcript link is dead (the exchange returns a 404) — a genuine gap, but five years outside this window. (iii) Two pairs of rows (Oct/Nov 2023, and two Jan 2025 entries) are duplicates of the same call, de-duplicated here. The Q4 FY26 transcript was fetched directly from the BSE filing after the normal route failed, so the run has no silent hole.

★ Latest concall highlights — Q1 FY27 (call held 24 July 2026)

- **The best quarter Laurus has ever reported, on every line.** Revenue **₹2,026 cr, up 29%** on a year ago. Operating profit (EBITDA — profit before interest, tax and depreciation) **₹644 cr at a 31.8% margin**, against 24.3% a year earlier. Net profit **₹368 cr**. That single quarter's margin is more than double the 14.3% Laurus was earning two years ago.
- **CDMO is now genuinely carrying the company.** Contract manufacturing for innovator pharma companies delivered **₹835 cr, up 69%** — about 41% of all sales, against 13% six years ago. Better still, **55% of that came from commercial supplies** (drugs actually approved and selling) rather than trial batches, up from 50% in FY26. The mix is maturing, not just growing.
- **Capex guidance has been doubled twice in six months.** FY27 spending went from ₹1,000 cr → ₹1,500 cr → now **₹2,000 cr**; the two-year FY27+FY28 figure was ₹3,000 cr and management says it "may do more than that, but we don't have a correct number to give you in this call." ₹394 cr was spent in this quarter alone. **They would not attach a revenue figure to any of it.**
- **The HIV business has finally shrunk to a third.** ARV (antiretroviral, i.e. HIV medicine) revenue was ₹669 cr — ₹415 cr of active ingredient plus ₹254 cr of finished tablets — or one-third of sales. Management: "2/3rd is non-ARV and 1/3rd is ARV. I expect it will go down further." The absolute ARV number is holding; the dependence is not.
- **Balance sheet stayed sane through it.** Net debt ₹2,656 cr at 1.28x EBITDA (vs 1.25x last quarter) despite the spending; ROCE up to 19% from 17.7%. Tone was the most confident in three years — the CEO now says "by FY '30 we will *definitely* reach our target of at least 50% of revenue from CDMO," a target he had softened only two quarters earlier.

Business mix & capacity (Q1 FY27). Segment split of the ₹2,026 cr: Affordable Medicines (generic active ingredients + finished tablets) ₹1,156 cr = **57%**, up 10%; CDMO small molecule ₹835 cr = **41%**, up 69%; Laurus Bio (fermentation) ₹35 cr = **2%**, up 21%. In plain words: the generics business is still the bigger half but is growing slowly, while the CDMO half is growing seven times faster and is what moves the profit. Within generics, ARV is ₹669 cr — **a third of the whole company, down from two-thirds six years ago**, even though the rupee amount has held near ₹2,800 cr a year. **Domestic vs export:** direct exports are **"about 55%, 60%"** of consolidated revenue (CFO, this call) — a little over half of sales leave India, and the ARV business ships almost entirely to Africa and other low- and middle-income countries. **Capacity:** small-molecule reactor volume passed **8,200 cubic metres** in FY26, with 2,000+ more due across five blocks by FY28; tablet capacity rose 20% to **12 billion units**; fermentation is 250,000 litres with **400,000 more due by end-2026**. **Utilisation is deliberately not disclosed** — "we can't give you the capacity utilization of our CDMO assets." The proxies given: asset turnover **0.89x rising to "almost 1.0"** against a 1.1x target and 1.4x historical peak — the plant still makes under a rupee of sales per rupee of assets; ARV ingredient plants run **"at full capacity"**; Bangalore fermenters are **"already sold out"**; only 10–12% of tablet capacity serves ARV. **Read:** meaningful unused plant remains, which is why margins can keep rising — but the ₹2,000 cr going in this year is not yet earning.

★ 3. Earning-trigger thesis

For a decade Laurus has told investors the same story: it would stop being a low-margin maker of HIV drugs for Africa and become a **CDMO** — a contract manufacturer of patented, high-value molecules for the world's big pharmaceutical companies — and that this mix shift would permanently lift its profit margin. For seven straight quarters through FY24 that story looked like an excuse: revenue fell 17%, margins sat at 15%, return on capital collapsed to 6.4%, and analysts said so to management's face. **It has now landed, and the numbers are not ambiguous.** Operating margin has gone 15% (FY24) → 20% (FY25) → 26.8% (FY26) → **31.8% (Q1 FY27)**. CDMO revenue has gone ₹922 cr → ₹1,374 cr

→ ₹1,896 cr → an ₹835 cr quarter. Return on capital has gone 6.4% → 19%. Net debt has fallen from 3.4x profit to 1.28x *while* capex ran at ₹1,000 cr+ a year, and free cash flow turned properly positive (₹560 cr) for the first time. This trigger has already fired. **The live question is no longer "will it work" but "how much of the next ₹5,000 cr of capex earns a return"** — management has doubled its spending guidance twice in six months and will not put a revenue number against it.

Trigger	What management said	Evidence so far	Horizon	Strength
CDMO ramp-up	CDMO will be "at least 50% of revenue by FY30"; a strategic, not tactical, partner to big pharma.	Delivered and accelerating. 13% of sales six years ago → 41% now. ₹835 cr quarter, +69%. 55% of it commercial supply. Three new drug ingredients commercialised in 18 months, no single product or customer concentrated.	Now → FY30	Strong The one trigger already visible in reported profit.
Margin re-rating from mix	Gross margin guided up in steps: "around 52%" → "55%" → "55–60%" → "around 60%". EBITDA "closer to 30%, but I will not tell you which year" (Oct 2023).	Every step delivered. Gross margin 52% → 62.7%. EBITDA margin 15% → 31.8%, clearing the 30% aspiration in Q1 FY27 — about three years after it was floated.	Landed	Strong Promise made, promise kept, visible in the P&L.
ARV as a cash cow	"₹2,500 cr plus or minus ₹200 cr" a year, flat in rupees, shrinking as a share. Raised to "₹2,600 ± 200" in Jan 2026.	Held for three years and then beat it — FY26 ARV was ₹2,800 cr on full plant utilisation. Falling from 67% to 33% of revenue <i>without</i> the rupees falling is the cleanest thing in this business.	Steady	Strong Funds the transformation. Not growth — but not the drag it was feared to be.
Peptides / GLP-1	Commercial-scale peptide block validating in Q2 FY27; "we expect peptides to be a meaningful area for Laurus." Weight-loss drugs among several classes.	Capacity is being built and qualified. Zero disclosed contracts, zero revenue, no capex figure — "I can only say it is large capex."	2–4 yrs	Unproven Real capability, no evidence of demand yet.
Animal health & crop science	Animal health to "peak in FY27"; crop science "meaningful revenue next financial year" — said in FY25, FY26 and FY27.	Animal health has some commercial shipments. Crop science has slipped four times and in Jan 2026 was pushed to "1 to 2 years down the road." Bio + crop together are only ₹250 cr of revenue.	FY28+	Weak Chronically late. The gross block is built; the revenue is not.
Laurus Bio (fermentation)	400,000-litre Phase 1 live by end-2026; capacity eventually 2 million litres; "massive upside" if products succeed.	₹35 cr a quarter, +21%. Bangalore is sold out — a good sign — but revenue "will stagnate until the new capacity operates." CEO's own words: the next "12 to 18 months will be very crucial which molecule will take off, which will not."	FY28+	Unproven Management itself frames it as a bet, not a plan.
Krka JV + generic CMO	Joint venture plant in Hyderabad; oncology block ready early 2027, solid orals H2 CY2027. ₹400 cr invested, ₹400 cr more to come, part funded by the partner.	3 billion tablets of extra capacity already live and being used commercially. The JV facility itself is still 12–18 months out.	FY28–29	Moderate Contracted, partner-funded, but slow.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
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Q2 FY24 (Oct 23)	FY24 EBITDA margin back to "25%-plus" (given a quarter earlier), walked down on this call to "we'll improve beyond this 15%."	FY24 came in at 16%. The original 25% was quietly abandoned within one quarter — though to their credit they walked it down openly rather than pretending.	Missed
Q2–Q3 FY24	"H2 will be better than H1" — repeated and explicitly re-committed twice under hostile questioning.	Technically met on margin (H1 14.8% → Q4 18%), but FY24 revenue still fell 17% and ROCE hit 6.4%. Analysts openly called the refrain "a very difficult situation."	Partly
Q2 FY24 (Oct 23)	"We can promise you we will get closer to 30% [EBITDA], but I will not tell you which year."	Delivered — 31.8% in Q1 FY27 , roughly three years later. No year was promised and none was missed.	Delivered
Q2 FY25 (Oct 24)	The one hard numeric commitment they have ever made: "committed to show 20% EBITDA for the entire financial year " FY25 — with H1 running at 15%, needing ~25% in H2.	Delivered — FY25 EBITDA margin 20.1%. This is the single most important entry in this table, because it was specific, dated, difficult, and doubted on the call itself.	Delivered
FY24–FY26	ARV would stabilise at "₹2,500 cr ± ₹200 cr" and not grow; net debt/EBITDA would come down from 3x.	Both delivered, one beaten. ARV did ₹2,800 cr in FY26 on full utilisation. Leverage went 3.4x → 3.1x → 2.3x → 1.8x → 1.3x → 1.25x , through a heavy capex cycle.	Delivered
Q4 FY25 → Q3 FY26	Crop science "meaningful revenues next financial year" (said in Apr 2025, then Jul 2025); animal health to "peak in FY27."	Crop science has now slipped four separate times — Q2 FY26 was "almost nothing there," Q3 FY26 became "1 to 2 years down the road." Animal health peak moved FY25 → FY26 → FY27.	Missed
Q1 FY26 (Jul 25)	"In the near to medium term future, we expect [CDMO] has the potential to touch 50%" of revenue.	Walked back in Jan 2026 to "not going to be there in the medium term, it is a long-term goal." Then hardened again in Jul 2026: "by FY '30, we will <i>definitely</i> reach at least 50%." A genuine wobble, now resolved upward.	Partly
Q2 FY26 (Oct 25)	Return on capital "closer to 25%" within "at least two more years."	Softened one quarter later to "not committing... no time-bound program," and again in Jul 2026 to "maybe going to 23% will take some time." ROCE is 19% and rising, but the target keeps receding.	Partly
Q4 FY26 → Q1 FY27	FY27 capex guided at ₹1,000 cr, raised to ₹1,500 cr, then to ₹2,000 cr within six months. FY27+FY28 combined "around ₹3,000 cr."	Asked twice on the latest call what changed, the answer was only "capacity to meet our customer demands." On the FY28 number: "we may do more than that, but we don't have a correct number to give you." No revenue attached.	Too-early
Q3 FY25 → Q1 FY27	Laurus Bio: "big growth in FY27"; 400 KL Phase 1 online end-2026; ADC facility "over \$15 million."	Bio growth pushed to FY28 ("revenues will stagnate until the new capacity operates"). Phase 1 still guided end-2026 — on track. ADC budget rose from \$15m to \$25m . Gene-therapy site moved and upsized, slipping ~12 months.	Partly

Narrative drift. The strategic story has been *remarkably* steady — API to formulations to CDMO, funded by an ARV cash cow that is deliberately not grown — and it has not changed in three years. What has changed is tone, and it changed for a legitimate reason. In FY24 management was defensive and vague, repeating "H2 will be better" while analysts asked pointedly whether the company was "misallocating capital." In FY25 they made one hard, dated commitment (20% EBITDA) and hit it. Since then they have been steadily more confident and, by Q1 FY27, openly triumphant — one analyst invited the CEO to relive 2023, and the CFO's answer was that during "only 7 quarters we had not so great results... we used to read Bhagwat Gita well." That is earned. **The reliable failure mode is elsewhere:** anything new and early — crop science, animal health, Bio, gene therapy, ADCs, an OLED-materials tie-up — is announced two to four years before it earns anything, and then slips. Management is honest about this in the abstract ("we are also cautious not to overcommit and underdeliver," Oct 2023) and then does it anyway. The second drift is disclosure going the wrong way: they used to publish

an active-project count (60 → 70 → 90 → 110) and have stopped, arguing counts mislead. Defensible — but the effect is that **there is no order book number, no contract value and no utilisation figure anywhere in the public record.**

5 Bottom line — two verdicts

Durable earning trigger? → YES

This is not a story about what might happen; it is a story that already happened and is still compounding. The shift from low-margin HIV ingredients to high-margin contract manufacturing for innovator pharma has moved operating margin from 15% to 31.8% in three years, tripled CDMO revenue from ₹922 cr to an ₹835 cr *quarter*, lifted return on capital from 6.4% to 19%, cut leverage from 3.4x to 1.28x, and turned free cash flow properly positive for the first time in the company's life — all simultaneously, which is the hard part. Critically, the quality of the CDMO revenue is improving too: 55% is now commercial supply of approved drugs rather than one-off trial batches, spread across many customers with no concentration, and the ARV base has held at ₹2,800 cr in rupees while collapsing from 67% to 33% of the mix. Two honest caveats keep this from being risk-free rather than from being a YES. First, **the business is lumpy and admits it** — CDMO revenue actually *fell* quarter-on-quarter in Q3 FY26 and grew only ~1% year-on-year in that quarter, so any single quarter can disappoint. Second, and more seriously, **capex guidance has doubled twice in six months to ₹2,000 cr for FY27 alone**, on top of a ₹5,000 cr five-year plan and a \$600m eight-year Vizag complex, with asset turnover still below 1.0x and management declining to attach any revenue to the spend. The last time Laurus built ahead of demand it produced seven quarters of pain. The trigger is proven; the price of the next leg is not yet known.

Management consistent? → MAYBE

Split the record in two and it reads very differently on each side. On **the things that decide the P&L**, this team has been reliable to the point of impressive: the one hard numeric commitment they ever made — 20% EBITDA for FY25, promised with the first half running at 15% and openly doubted by analysts on the call — was delivered at 20.1%. The "closer to 30%, but I will not tell you which year" aspiration from October 2023 arrived at 31.8%. Gross margin was guided up in four steps from 52% to 60% and every step landed. ARV was guided flat at ₹2,500 cr and held for three years. Deleveraging was promised through a capex cycle and delivered from 3.4x to 1.25x. That is a genuinely strong core record, and they earned the confidence they now display. On **everything new and peripheral**, they are chronically over-optimistic: crop science has slipped four times, animal health's peak year has moved three times, Laurus Bio's growth year has been pushed to FY28, the gene-therapy site moved and slipped a year, and the ADC budget grew from \$15m to \$25m. The 50%-CDMO target was floated as "near to medium term," walked back to "long-term," then re-hardened to a firm FY30 — resolved well, but a wobble. And the disclosure trend runs the wrong way: the active-project count they used to publish has been withdrawn, and there is no order book, no contract value and no utilisation figure in the public record, so the entire CDMO pipeline must be taken on trust. Trust that, on this evidence, is largely deserved — but a MAYBE it remains until the ₹2,000 cr they are spending this year comes with a number attached.

Sources: Twelve consecutive Laurus Labs Ltd earnings-call transcripts filed with BSE/NSE, Q2 FY24 (20 Oct 2023) through Q1 FY27 (24 Jul 2026), from Screener.in — the Q4 FY26 transcript retrieved directly from the BSE filing. Screener.in consolidated *and* standalone financials (P&L, balance sheet, cash flow, ratios, quarterlies, shareholding).

A note on the numbers: all figures here are **consolidated**, as management quotes on every call. Screener.in defaults to **standalone** for Laurus, which is materially smaller — FY26 revenue ₹6,089 cr vs ₹6,813 cr, FY26 profit ₹740 cr vs ₹890 cr, Q1 FY27 revenue ₹1,757 cr vs ₹2,026 cr (~12–15% less revenue, ~20% less profit). The gap is Laurus Bio, Laurus Synthesis and the Krka JV — where much of the new capex is going, so it should widen.